Retail Peak 2026

Holiday 2026 is defined by stable demand under pressure — and a structural shift to AI-driven search

Microsoft Advertising

AGENDA

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Executive summary

Macro Context

We're going into peak with continued inflation pressure across all major markets and mixed consumer sentiment. That means demand isn't collapsing, but it's also not being driven by strong macro tailwinds. Execution will matter more than ever.

Peak Pattern

In terms of timing, the pattern is familiar, demand builds from October and peaks on Black Friday, but what's changed is that demand and conversion extend well beyond the peak into January.

Winning Formula

Drive performance through full-funnel coverage across Audience, Search, and Shopping, powered by AI solutions like PMax to capture higher-value demand, while focusing on mobile to maximise conversion and efficiency.

Glossary of terms

Key acronyms, ad products, and metrics used throughout this deck

Data

Vertical level data includes AI searches as well. Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

Metrics

CPC — Cost per click
CTR — Click-through rate
CVR — Conversion rate
CPA — Cost per acquisition
pp — Percentage points (absolute change, e.g. +15.8pp)
YoY — Year-over-year

Macro indicators

HICPX — Harmonised Index of Consumer Prices excluding food & energy — core inflation measure (Eurostat)

CCI — Consumer Confidence Index (Ipsos) — sentiment indicator, >50 = expansion

ECB — European Central Bank

EU6 — Six largest EMEA markets: UK, DE, FR, IT, ES, NL

Generations

Gen Z — born 1997–2012 (ages ~14–29 in 2026)
Millennials — born 1981–1996 (ages ~30–45)
Gen X — born 1965–1980 (ages ~46–61)
Boomers — born 1946–1964 (ages ~62–80)

Deck shorthand

BF — Black Friday (and BF Week = the 5–7 day promotional window around it). Those terms are used interchangeably throughout

Cyber 5 — Thanksgiving through Cyber Monday — the 5-day US/EMEA peak shopping window

Use these alongside the main deck for your client meetings

01

High Net Worth Individuals

The value and impact of HNWI audiences_May2026.pptx

02

comScore Market size Per Country

comScoreSlides.pptx

03

Holiday Survey

FY26 UK Retail Holiday.pptx

04

BF Deck Review Deck:

PostPeakSeason2025_EMEA.pptx

Economic Outlook

Inflation is sticky in pockets, geopolitical risk is priced but contained, and consumer confidence is shaken

Two indicators define peak readiness

01 **Inflation**
Purchasing Power & Cost Pressure

WHY WE USE IT

Inflation shapes how businesses and consumers prioritise spending. In high-inflation markets, buyers demand clear ROI.

RETAIL PEAK IMPLICATION

Peak retail promotional events increase in importance where inflation runs high. For many cost-conscious buyers, this is their only opportunity to splurge.

02 **Consumer Confidence Index**
Willingness to Spend

WHY WE USE IT

CCI tells us how open consumers are to new products and services right now. A high CCI signals an audience receptive to spending. A low CCI flags markets where cost-justification messaging matters most.

RETAIL PEAK IMPLICATION

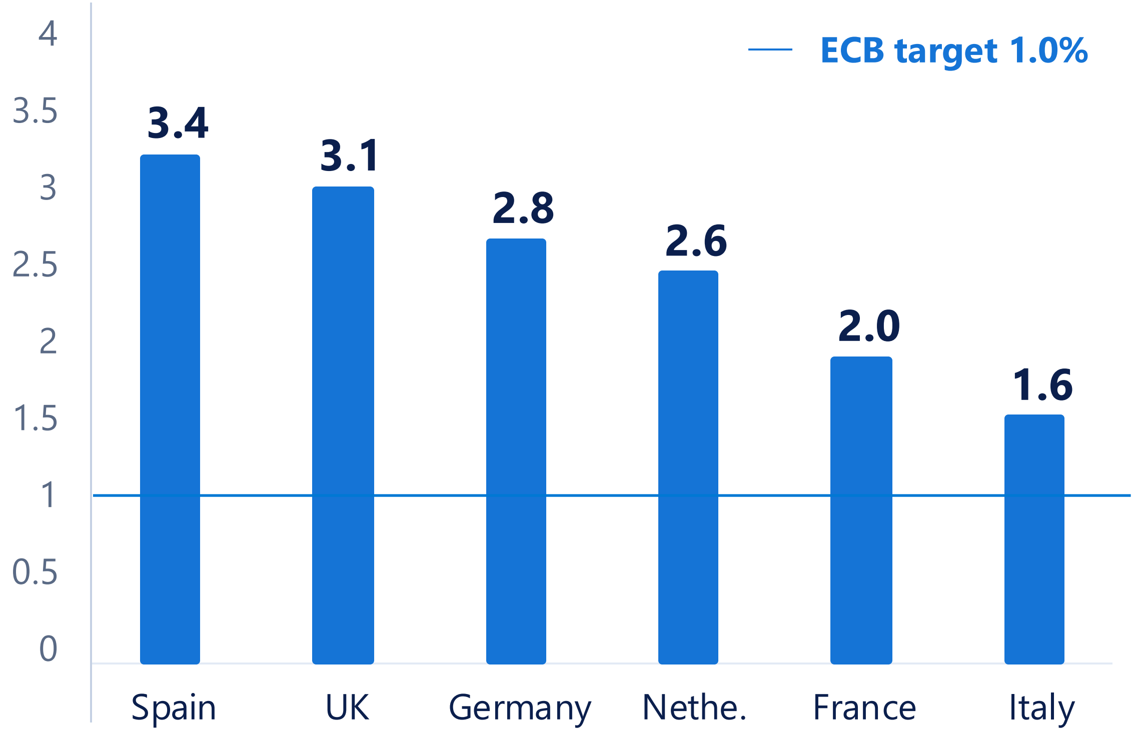
Low-confidence markets yield weaker conversions and heightened price sensitivity. Convincing consumers to buy with you will be harder.

Inflation headwinds for Q4 2026: markets face above-target pressure

All six markets sit above the ECB's 1.0% target, with Spain and the UK furthest from anchor.

✓ Activate cost-justification messaging in these markets to capitalise on current consumer interests.

Inflation rate by country, Mar 2026 (%)



Sources: Eurostat / Trading Economics; ECB Mar 2026

Iran Strait of Hormuz sustained closure is the biggest swing factor in 2026 outlook

WHAT'S HAPPENING

Roughly 20% of global oil and 25% of Liquefied Natural Gas move through the Strait of Hormuz. Even partial disruption raises fuel, freight, and packaging costs, showing up in prices with a 4 to 8-week lag.

WHY IT MATTERS

In peak 2026, **risk skews to higher costs in the back half of the year,** when promotions are most important.

TRANSMISSION CHANNEL

Expect impact on fuel, freight, and packaging cost due to higher oil and gas prices. These costs are expected to pass through to shelf prices in Q3-Q4

MOST EXPOSED MARKETS

UK, Germany, and Italy are most exposed to energy-driven inflation.

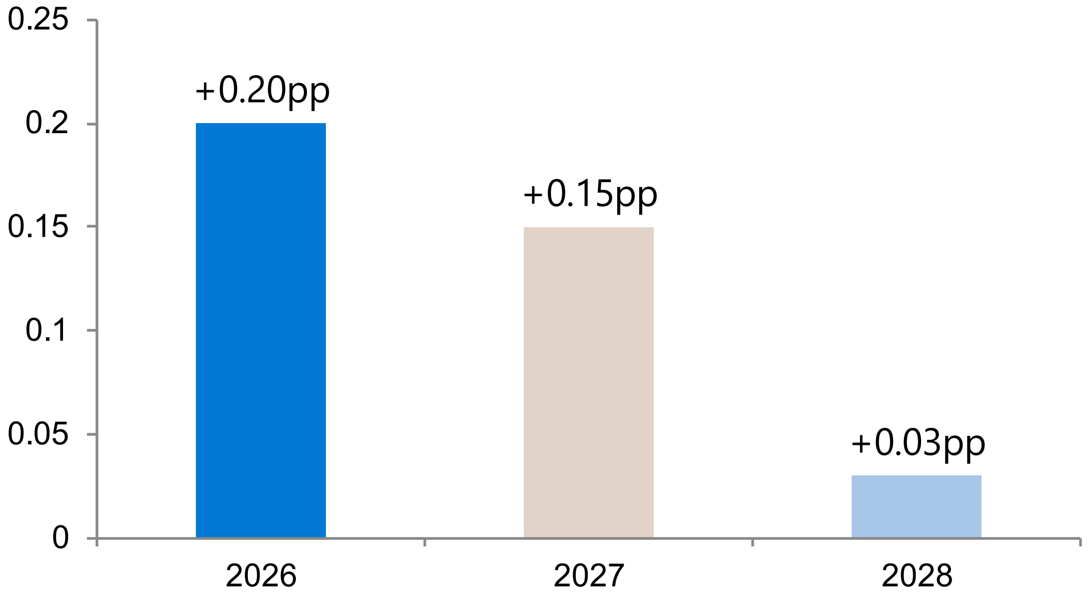
The Netherlands is relatively more insulated.

Sources: ECB Economic Projections 2026 · IEA Oil Market Report Apr 2026 · S&P Global Commodity Insights

Geopolitical risk translates to modest, time-limited inflation increase

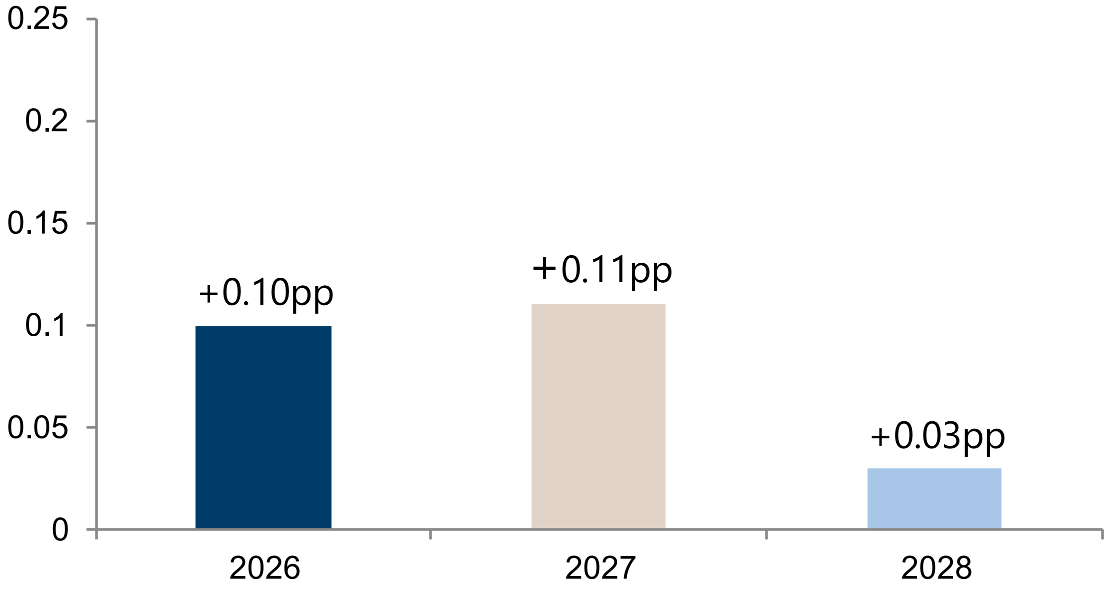
General projections for inflation and wage growth from 2025 baseline

Core Inflation above 2025 baseline



Inflation is expected to increase this year but disperse after. Expect continued negative pricing pressure on consumers.

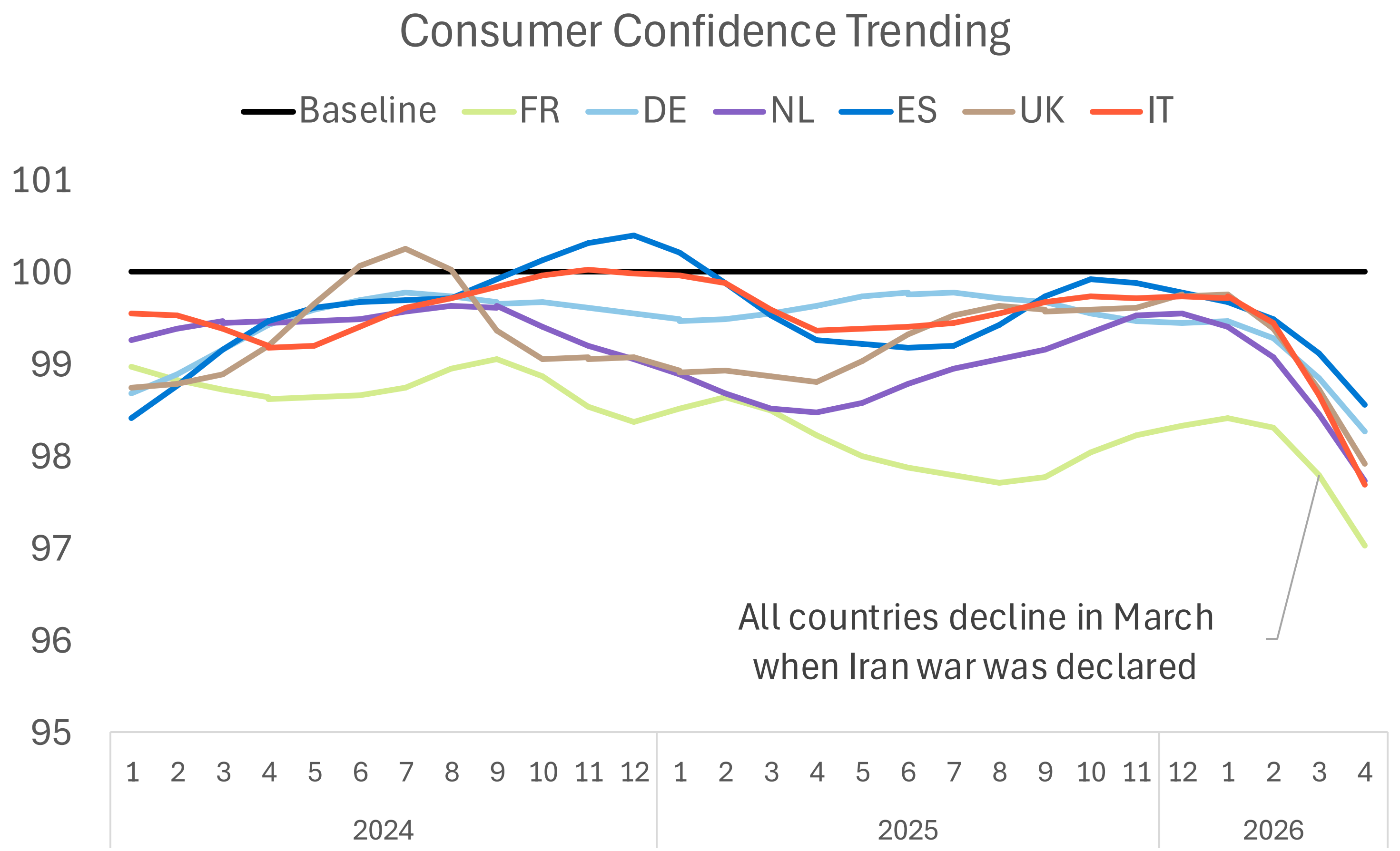
Wage Growth above 2025 baseline



Wage growth is lower than inflation growth, consumer spending capacity is looking limited

*HICPX = Harmonised Index of Consumer Prices ex. food & energy — the standard EU inflation measure (similar to US CPI). Source: European Central Bank, Economic Projections 2026

Iran War causes declines in consumer confidence



Since this index is centred at 100 for long-run average, small deviations (<5 pts) are meaningful signals for optimism/pessimism

All countries are in the 97-99 range showing mild but broad-based weakness. For reference, anything 92 and under would signal recession

Spain, Germany, and UK are the most positive in April, while France, Italy, and Netherlands were the most negative.

Consumer Confidence Index, Amplitude Adjusted, OECD Harmonised from OECD data explorer

Plan for higher costs early in peak 2026

The conflict will continue to push up costs in 2026, with the biggest impact early in peak season. Pressure should ease by 2027–2028, returning closer to normal levels.

INFLATION

Expect higher inflation during peak due to the war in Iran.

WAGE GROWTH

Wages are expected to grow but not as fast as inflation, consumers will feel price pressures.

CONSUMER CONFIDENCE

Consumer confidence is on the pessimistic side due to Iran war.

AI is reshaping the path to purchase

Adoption is no longer experimental. Across EMEA, consumers are folding AI tools into the everyday research and decision flow that culminates at peak- making AI the single most important behavioural shift of the season.

AI adoption is widespread across EMEA, with Italy leading

✓ AI has gone *mainstream* in EMEA, focus should shift from adoption to differentiation.

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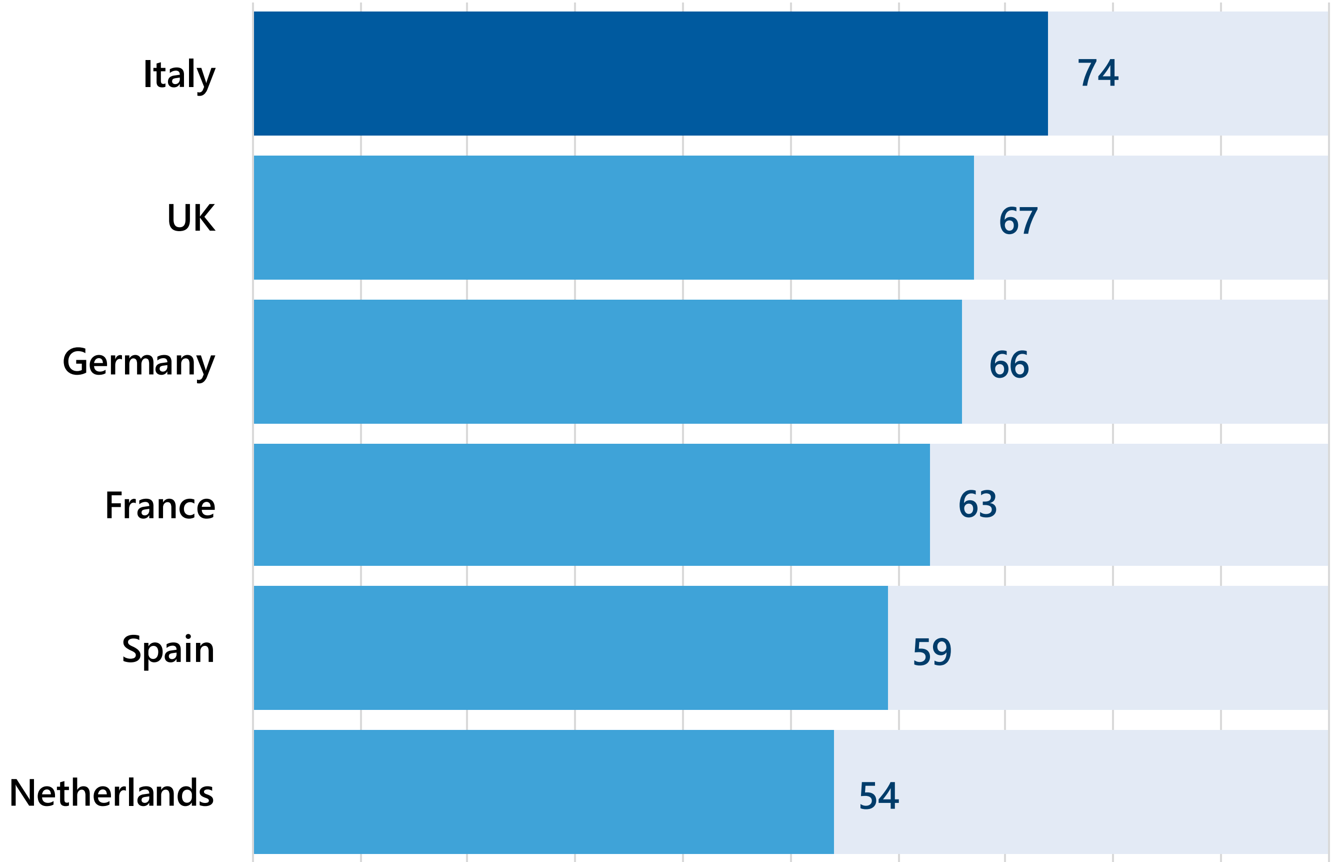
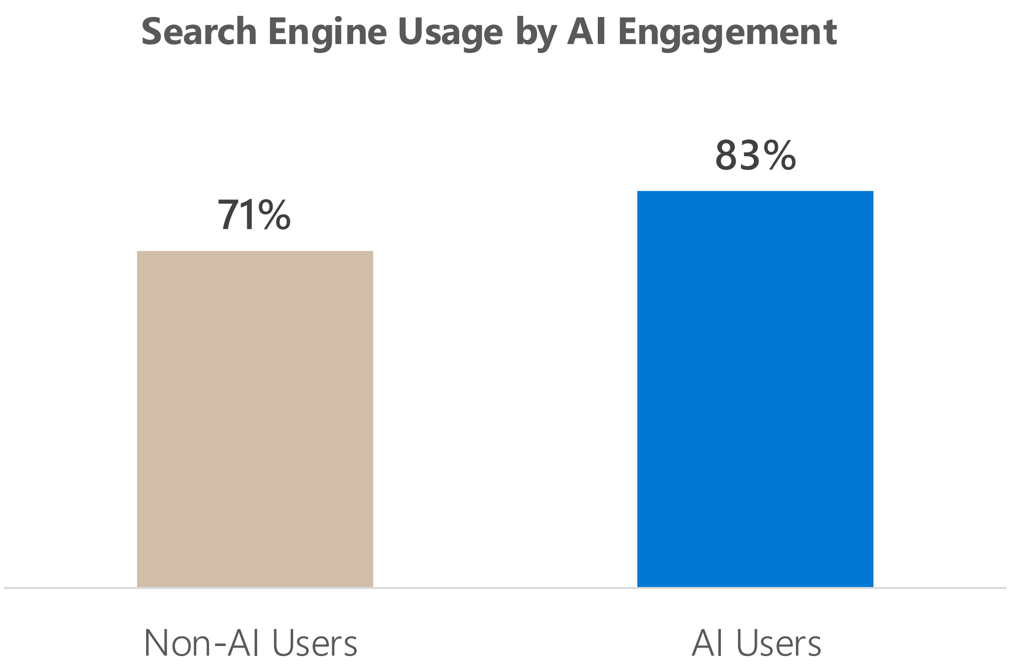
AI Shopping Tool Adoption (% of Internet Users), Q1 2026



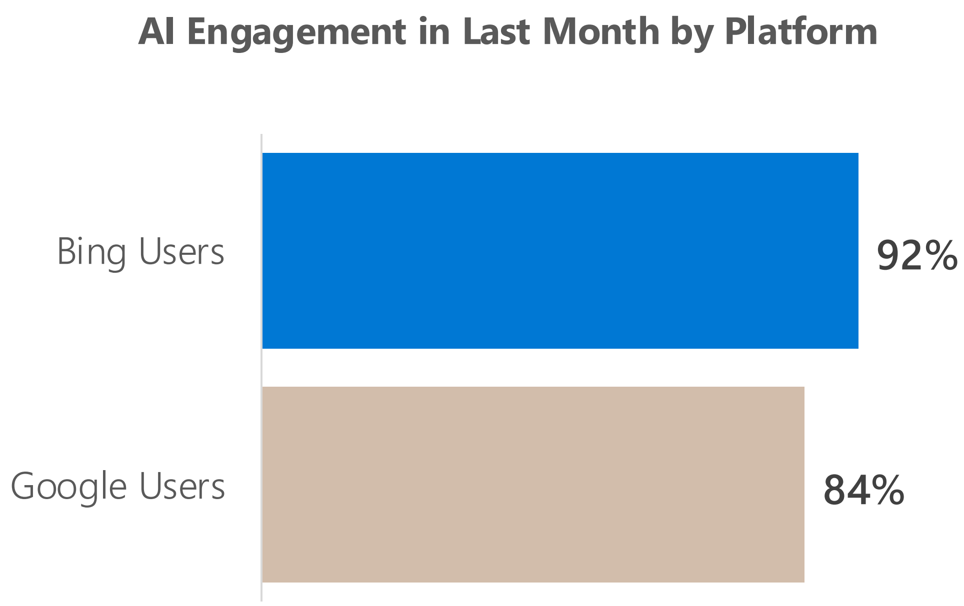
Sources: Eurostat / Trading Economics Mar 2026 & · McKinsey Consumer Wise Q1 2026

AI users search more- and are more active on Bing!

Global Web Index



AI users are 18% more likely to use Search vs. Non–AI users.



Bing users leverage AI 10% more often than Google

AI is doing the comparison and discovery work that brand and search once owned alone*

63%

Compare brands, prices and reviews

55%

Learn about a product category

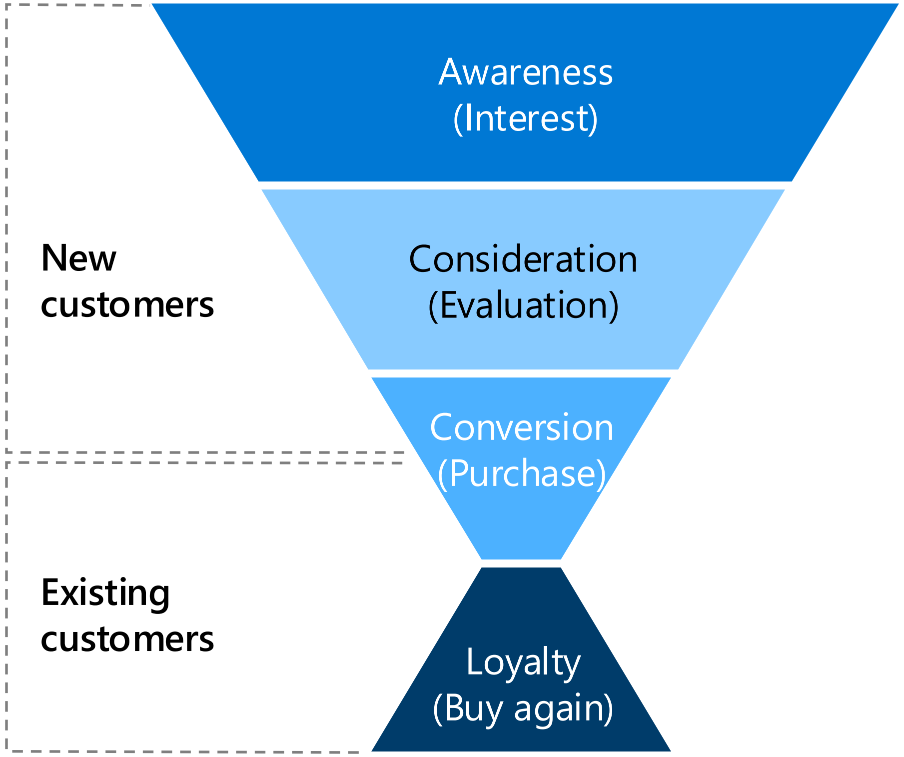
41%

Research products before purchase

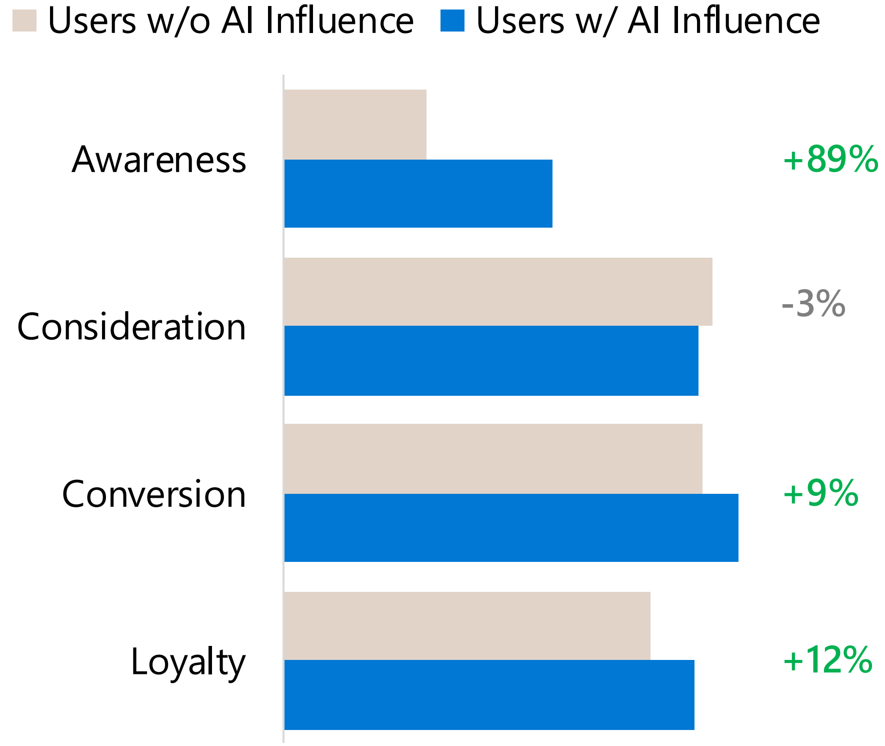
* Percentage of shoppers, Sources: McKinsey ConsumerWise Q1 2026 · Retail Gazette / Criteo Consumer Shopping Index Mar 2026 · IBM-NRF Jan 2026

AI speeds decisions, moving users down the funnel into higher-value stages

Conversion Funnel



AI Impact on Bing Users Movement Rate % between each Funnel Stage



Source: Microsoft Internal Data, US, PC, 2025 Dec; AI-influenced users are those who searched AI-related topics earlier in their journey.

Market performance

Understanding that timing is everything

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Black Friday Week drives the highest click volume but demand builds steadily from October onward

Weekly Indexed Click Volume

Country	10/1	10/8	10/15	10/22	10/29	11/5	11/12	11/19	11/26	12/3	12/10	12/17	12/24
France	35	36	37	40	58	75	79	91	100	79	68	53	28
Germany	40	41	43	48	64	83	84	94	100	77	68	53	30
Italy	37	39	40	44	58	75	77	92	100	76	68	53	29
Netherlands	42	43	44	48	64	79	82	94	100	77	67	56	32
Spain	38	39	41	44	61	78	81	93	100	79	69	60	36
United Kingdom	39	39	42	45	60	79	83	92	100	73	60	45	24
Overall	38	39	41	45	60	78	81	93	100	76	65	52	29

Microsoft Internal Data | Demand: Retail | EU6 | Search | O&O only; each country indexed to its own

CPCs peak around Black Friday across EU markets, before easing into late December

Weekly Indexed CPC

Country	10/1	10/8	10/15	10/22	10/29	11/5	11/12	11/19	11/26	12/3	12/10	12/17	12/24
France	62	59	61	62	67	74	78	82	100	99	97	89	78
Germany	62	60	64	61	66	73	76	83	100	94	97	90	80
Italy	58	61	60	56	67	72	76	81	100	97	96	92	80
Netherlands	69	68	69	68	74	77	80	85	100	98	98	94	87
Spain	57	58	60	57	66	72	75	82	100	93	91	86	74
United Kingdom	58	57	59	58	65	72	74	81	100	94	94	94	81
Overall	61	59	61	60	67	73	76	82	100	95	95	90	79

Microsoft Internal Data | Demand: Retail | EU6 | Search | O&O only; each country indexed to its own

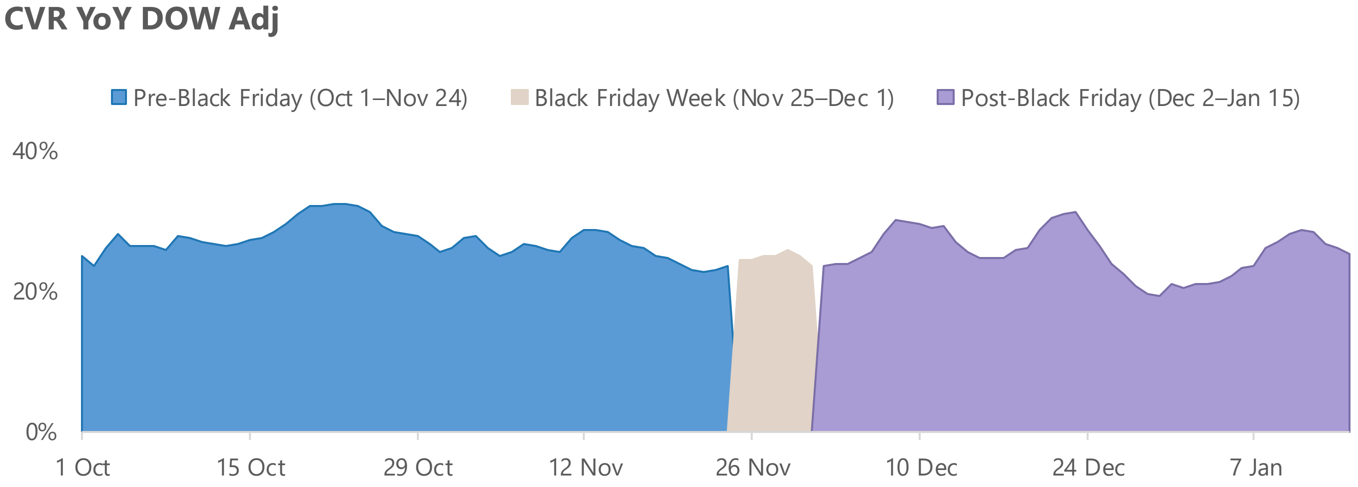
Prioritise Audience and shopping Ads formats for early engagement &PMax throughout the full season for efficiency

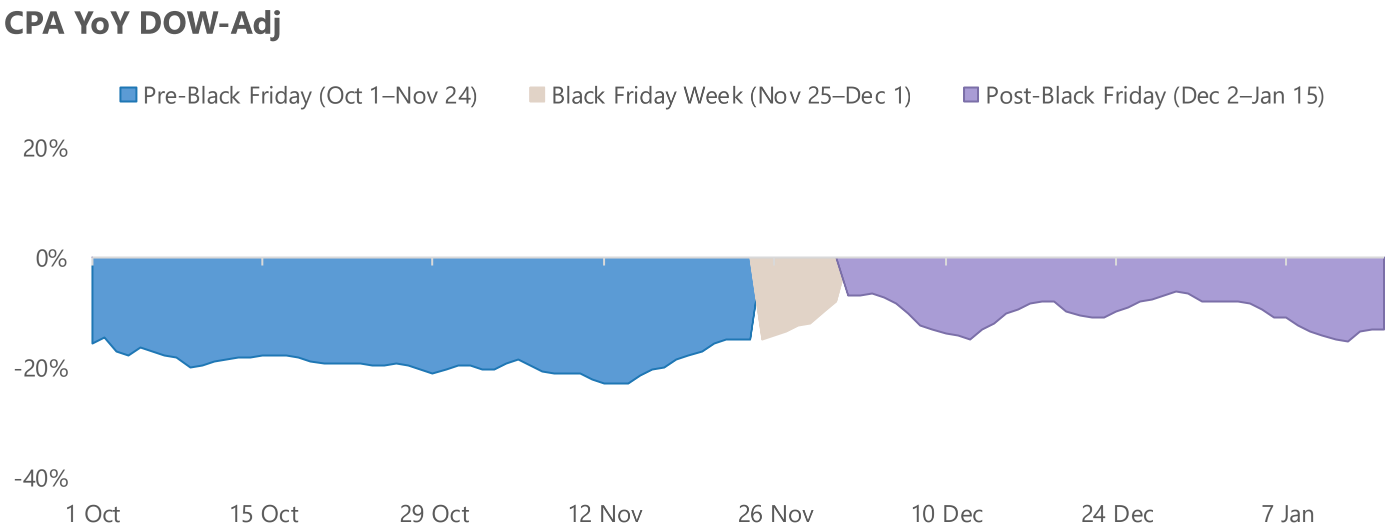
Weekly click growth by ad type

Ad Format	8/30	9/6	9/13	9/20	9/27	10/4	10/11	10/18	10/25	11/1	11/8	11/15	11/22	11/29	12/6	12/13	12/20	12/27
Microsoft Audience Network	75	78	87	81	77	87	87	93	100	94	95	92	91	89	87	87	66	75
PMax Shopping	58	57	54	60	53	61	61	60	62	64	70	85	100	86	71	69	42	46
Other PMax	75	76	76	80	74	85	77	81	84	84	91	96	100	90	84	75	51	60
	68	69	70	73	68	79	73	77	79	79	82	90	100	87	82	76	48	56
Standard Shopping	60	60	61	71	67	79	71	70	71	77	76	92	100	88	85	78	49	61
RSA	62	61	61	67	60	71	73	71	74	80	86	93	100	91	89	84	58	55
MMA	75	78	87	81	77	87	87	93	100	94	95	92	91	89	87	87	66	75
DSA	51	51	53	55	51	61	60	65	68	70	79	88	100	90	88	79	51	58

DE MARKETPLACE

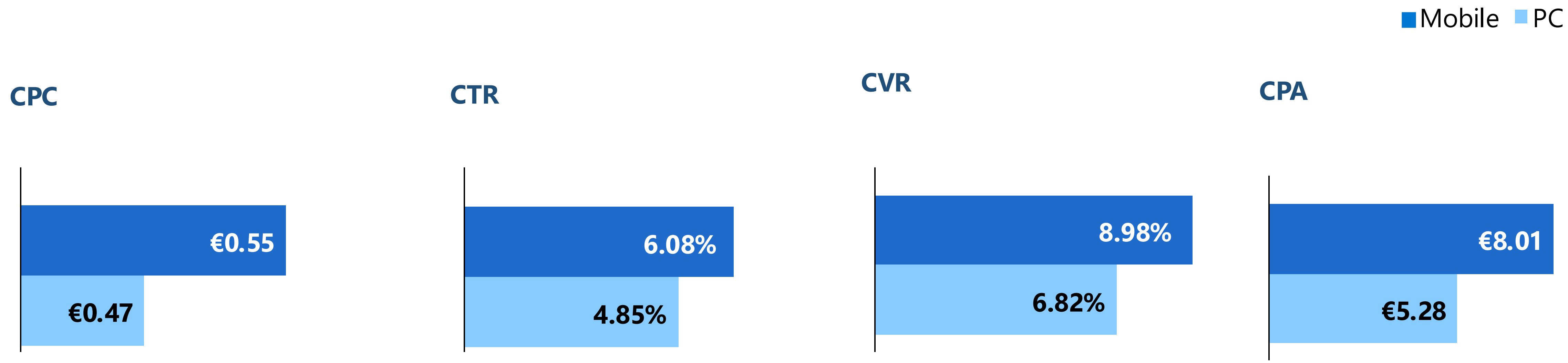
Germany's CVR growth translates into materially improved efficiency. The CPA is down ~20% pre-BF





Microsoft Internal Data | Demand: Retail | DE | Search | Includes Syndication
*YOY DOW Adj: year-over-year day of week adjustment

Mobile offers a key growth opportunity in Germany, combining higher engagement and conversion rates



Sep – Dec 2025
Front Metrics (CTR, CPC) | Supply | Retail | Search Only | DE
Conversion Metrics (CVR, CPA) | Demand | Retail | Search Only | DE

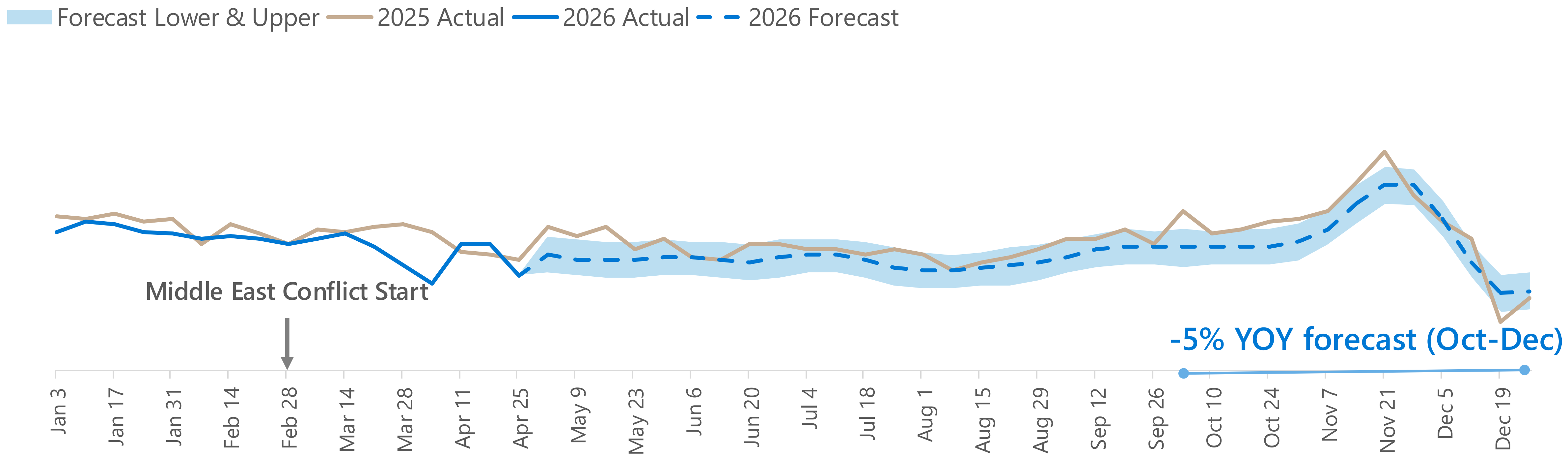
Lean into what matters most to your customers

Insights	Actions
BF Week: drives peak demand in Germany, with click volume surging sharply while CPCs rise due to intensified competition	Start early with Audience Network and PMax to build demand ahead of BF and mitigate rising CPC pressure closer to peak
Performance: is sustained across a longer window, with Germany maintaining conversion strength beyond BF while improving efficiency (CPA down ~20% YoY pre-BF)	Sustain investment beyond BF with always-on strategies, leveraging Germany's extended conversion window and improved efficiency post-peak
Mobile opportunity: clearly outperforms PC in Germany, combining stronger CTR and CVR to deliver superior engagement and conversion performance	Adopt a mobile approach by prioritising mobile bids, optimising UX, and simplifying checkout to capitalise on higher engagement and CVR.

Forecasts - DE

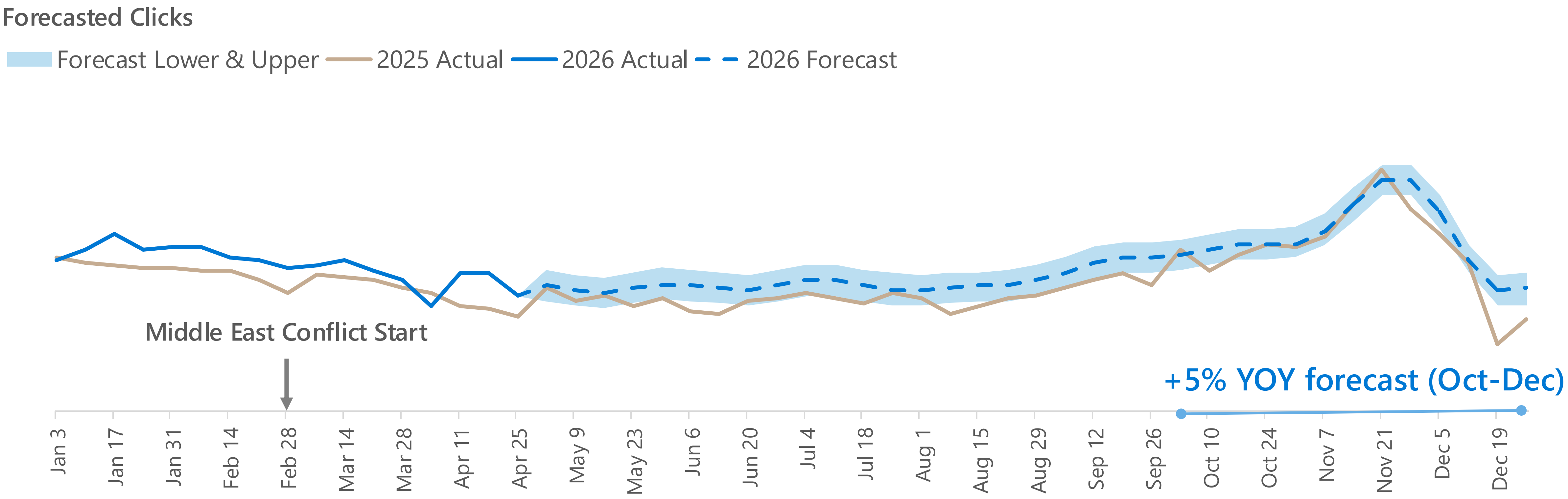
Moderate decline forecasted for Oct-Dec

Forecasted Searches



Microsoft Internal | Supply O&O | Prophet Model on 3 years of data;
Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

Clicks are expected to grow +5% YoY. Especially December should be up YoY.



Microsoft Internal | Supply O&O | Prophet Model on 3 years of data;
Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

Retail shows slightly reduced searches, but increased engagement

Forecasted Search KPIs

Category	Searches YoY	Clicks YoY	CPC Oct-Dec 2026	CPC YoY	CTR Oct-Dec 2026
Apparel	-4.7%	-2.5%	€ 0.43	-2.7%	2.9%
Beauty & Personal Care	-12.8%	-1.0%	€ 0.41	-0.3%	3.0%
Computers & Consumer Electronics	-5.7%	9.0%	€ 0.55	3.5%	3.3%
Home & Garden	-1.1%	8.1%	€ 0.43	1.4%	2.9%
Retail overall	**-4.9%**	**5.0%**	**€ 0.48**	**1.5%**	**3.0%**

Microsoft Internal | Supply O&O | Prophet Model on 3 years of data;
Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

Forecasted YoY category click changes

	Apparel	Beauty & Personal Care	Computers & Consumer Electronics	Home & Garden
Top YoY growing	• Jewelry	• Skin Care • Hair Care	• Computers • Consumer Electronics	• Yard, Garden & Patio • Home Appliances • Home Decor • Home Furniture • Kitchen & Dining
Top YoY declining	• Apparel Accessories • Footwear • Clothing	• Perfumes & Fragrances • Make-Up & Cosmetics		

Microsoft Internal | Supply O&O | Prophet Model on 3 years of data;
Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

Overall expect growth, and for less popular categories utilise upper funnel campaigns to increase reach

Insight	Action
Strong positive momentum (clicks) expected for Retail Peak, in Computers (+9%) and Home & Garden (+8%), clearly driving Retail overall growth.	Prioritise these categories with PMax + audience layering, and scale impact via Product Ads & Multimedia to win share.
Apparel and Beauty are expected to decline (clicks) during Retail Peak, but with CPC decreases in Apparel (-2.7%) meaning efficiency opportunity.	Reignite demand via Audience Campaigns, and use AI + audiences to capture demand more efficiently in softer segments.

Microsoft Internal | Supply O&O | Prophet Model on 3 years of data;
Forecast for Oct–Dec 2026, with quality traffic adjustments applied to focus on high-intent demand. Increase in AI-related queries contributes to Computers & Consumer Electronics category trends

The value of brand **how to reach the shoppers you've been missing**

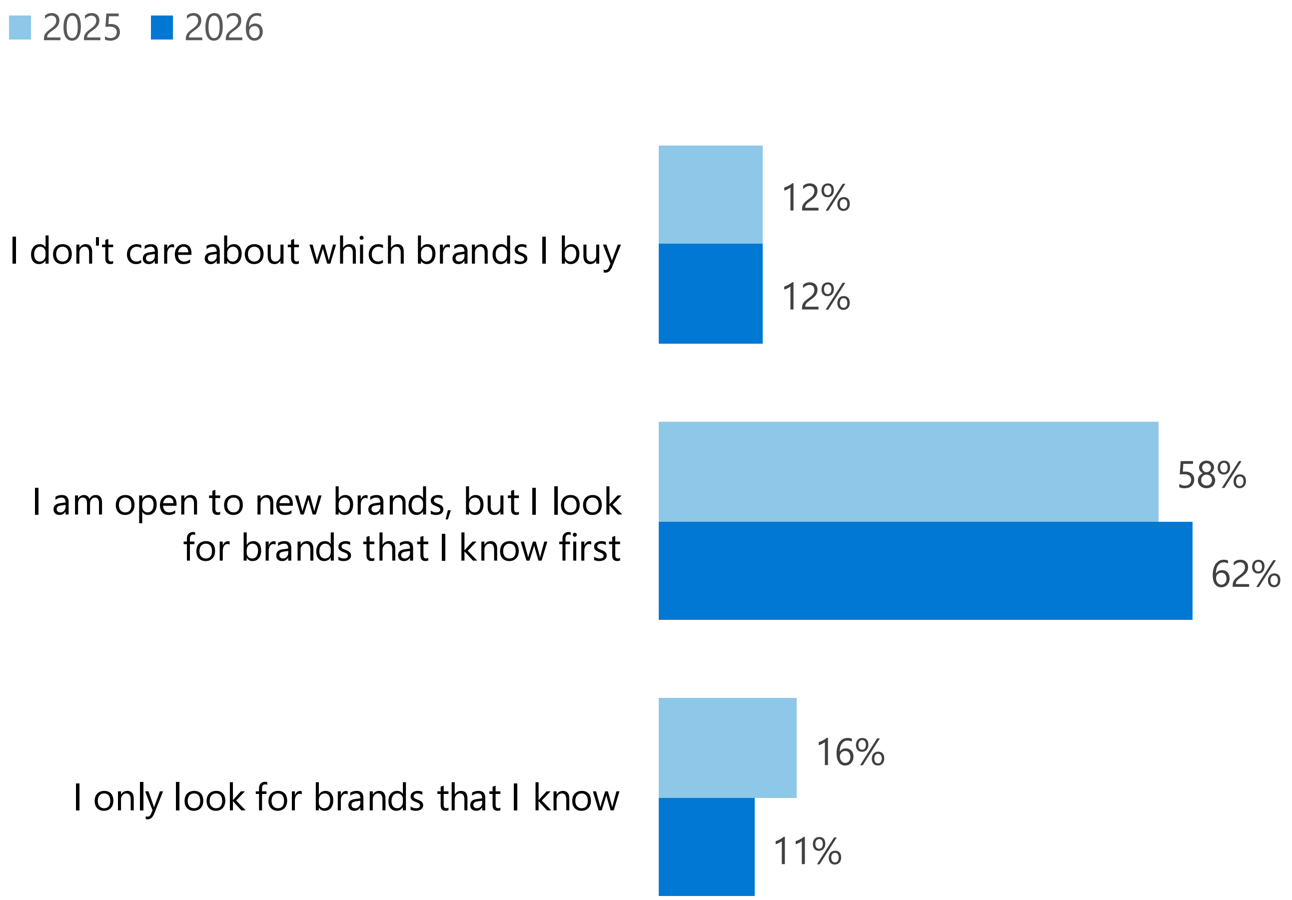
Germany

Microsoft Advertising

Most shoppers are open to shopping new brands during the holiday season

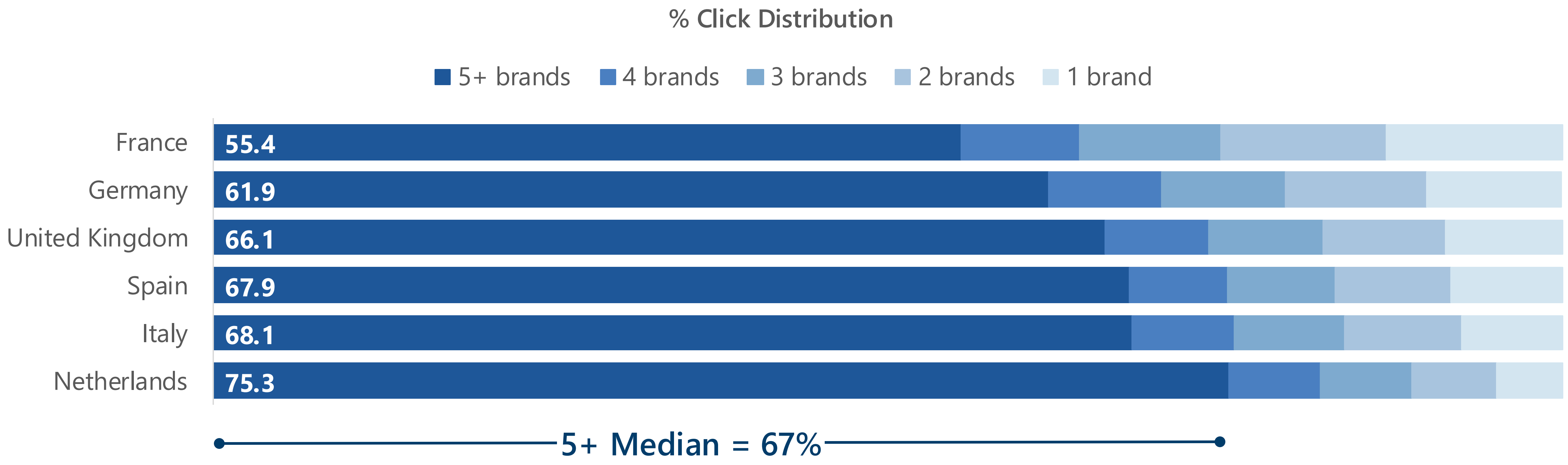
- ✓ Activate Audience Ads early to create brand awareness as many consumers first seek “brands that they know” during the key shopping phase of their journey.
- ✓ Consider conquesting to target consumers who are “open to new brands.”

How do you shop for brands during shopping events like Black Friday?



Shop during major shopping events UK Only 2024, shown as directional read-across, n=348; 2025, n=380
Arrow indicates significant difference from previous year at a 95%CI, Holiday Consumer survey 2026.

Most EMEA shoppers consider 5 or more brands while shopping during the holidays



German shoppers stay open to discovery for 10 weeks

DE VALUE OF BRAND

~10 different brands

Average number of brands considered by Germany shoppers before clicking.

How do we best target those before and after?

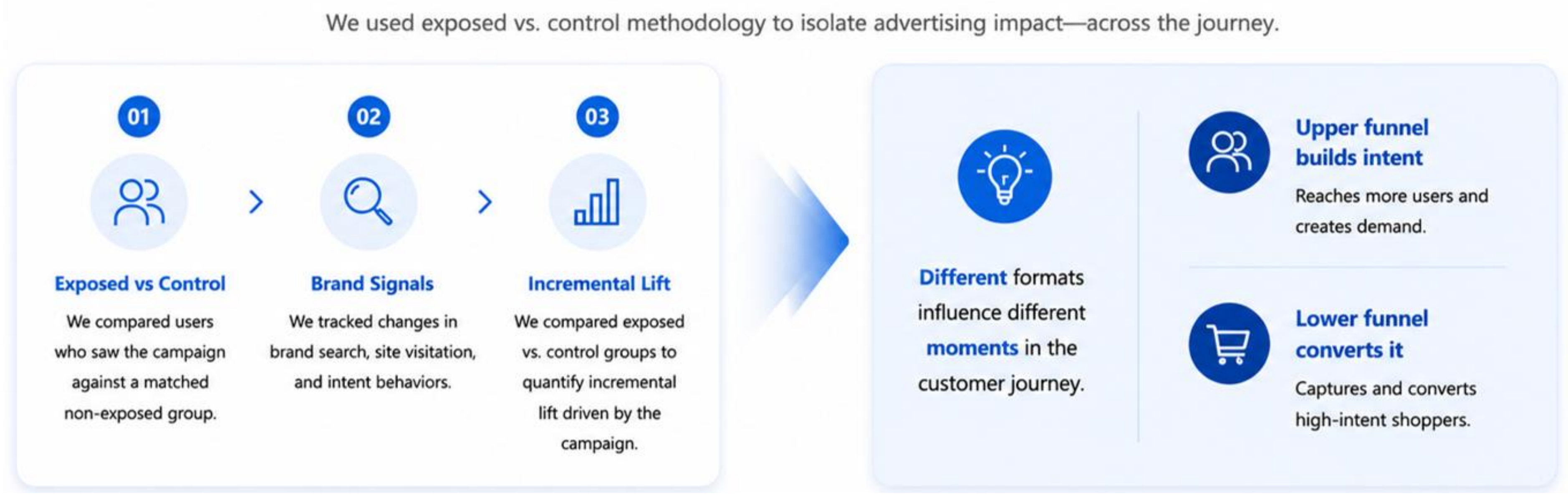
Understanding branded shopper journeys

FROM MEASUREMENT

Here's how we measured

TO INSIGHTS

Here's what the data shows

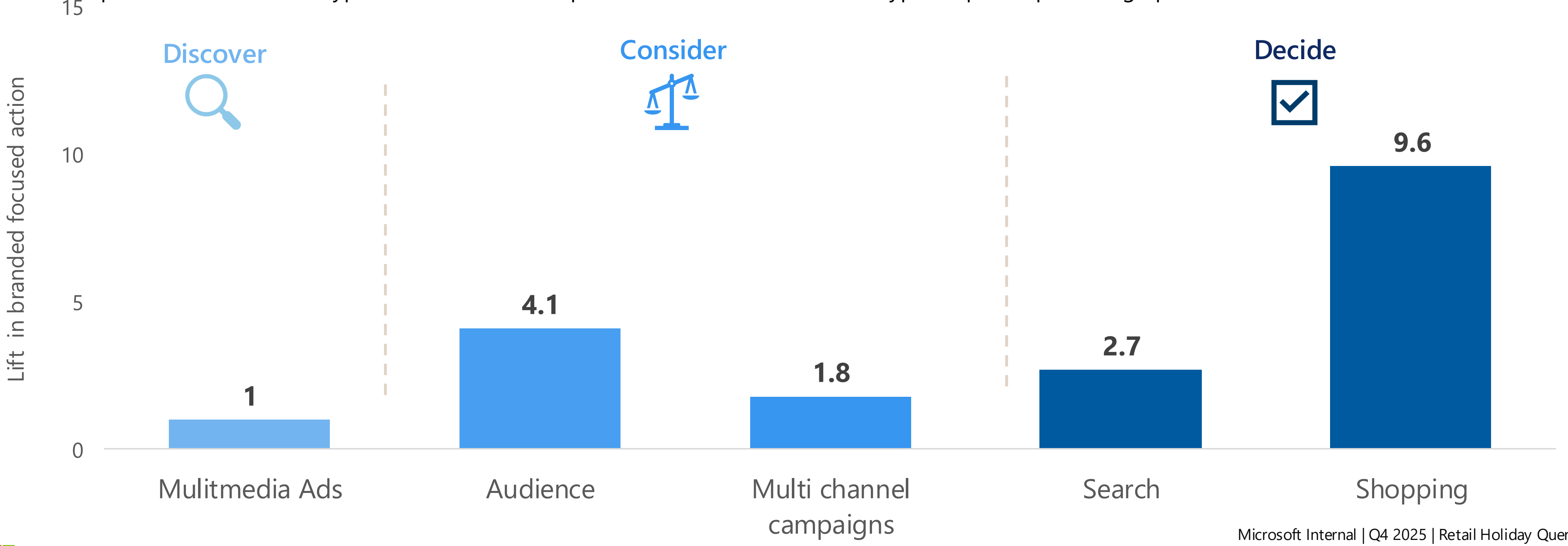


Timing is key: use the *right* format at the *right* time

Build intent early then convert it at the decision moment

% Points Lift vs Control

Brand% for paths that saw this ad type MINUS Brand% for paths that did NOT see this ad type = uplift in percentage points



Lean into what matters most to your customers

Insights	Actions
The role of brand: Brand briefly overtook non-brand in click volume during key peak weeks, a strong signal of seasonal brand demand building in this market	Plan campaign investment bursts to align with this window each season and monitor share-of-voice closely to defend against competitor conquest
Brand efficiency: traffic converts at a disproportionately high rate relative to its click share, making it the most efficient acquisition channel in market	Ensure brand campaigns are never budget-constrained. Set bids to capture maximum impression share, especially during high-intent periods.
Targeting: In-Market audiences are the highest-converting segment, indicating users with active purchase intent respond strongly to the advertiser's messaging.	Increase In-Market audience bid adjustments and tailor ad copy to bottom-of-funnel intent signals to maximise conversion efficiency.

Performance Max

Thinking about competitiveness

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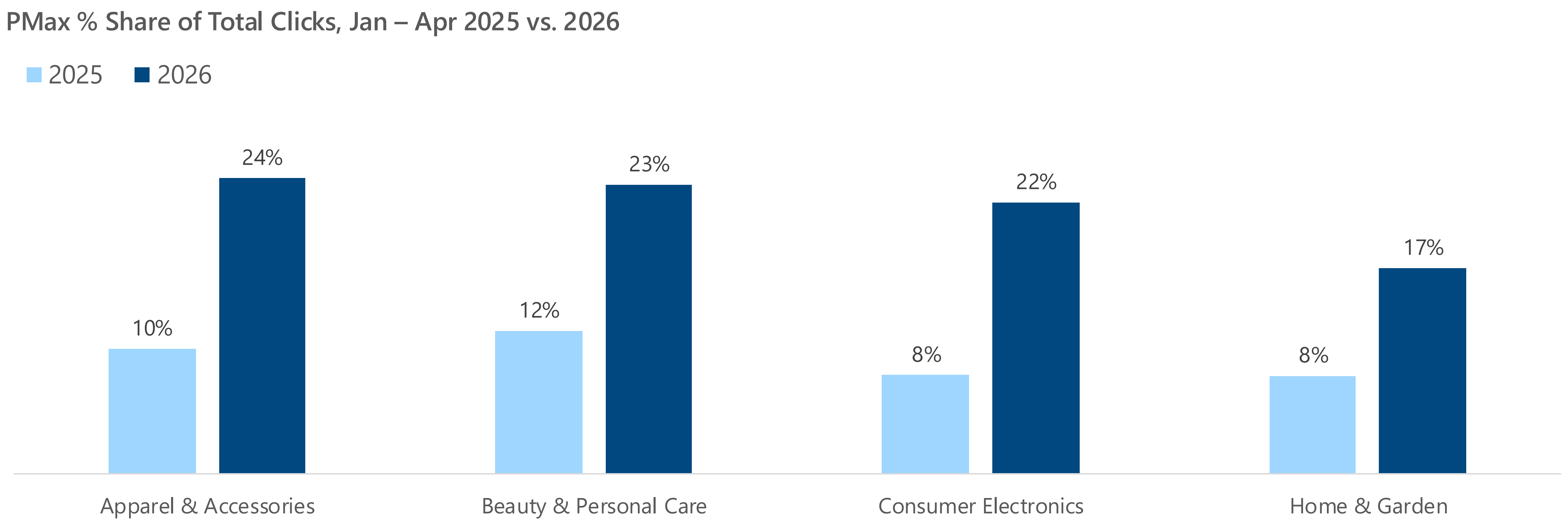
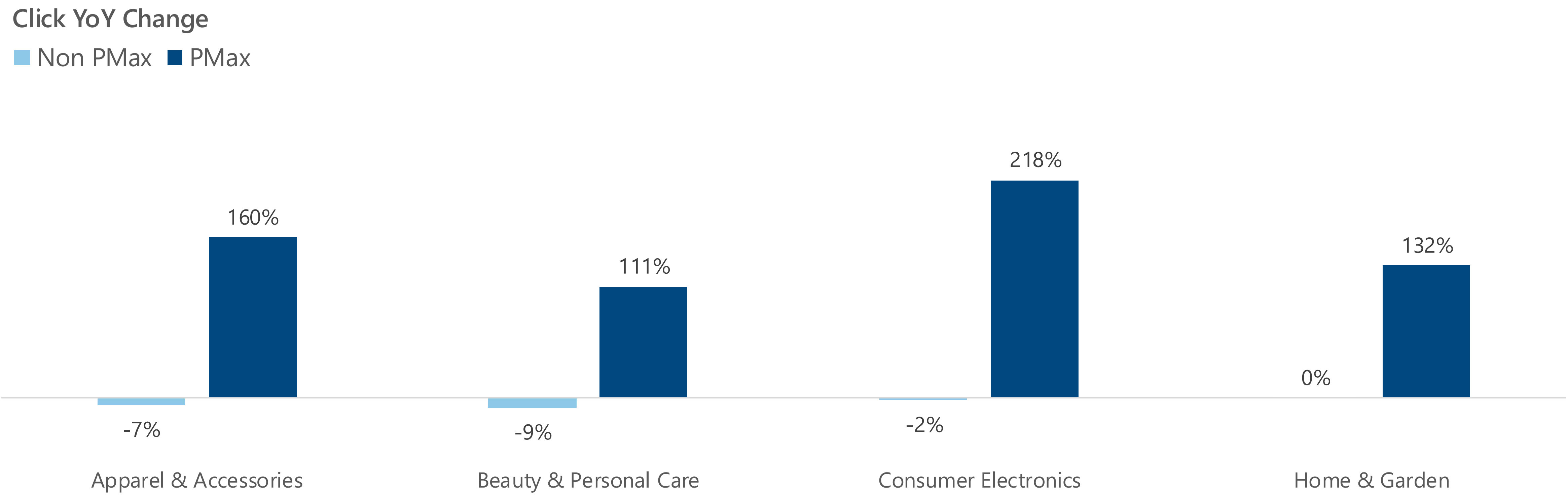
1 in 5 clicks are through PMax

✓ Expand campaigns in before peak starts in September to maximise reach while driving efficiency



Growing PMax adoption is powering consumer engagement

✓ Double down on PMax budget



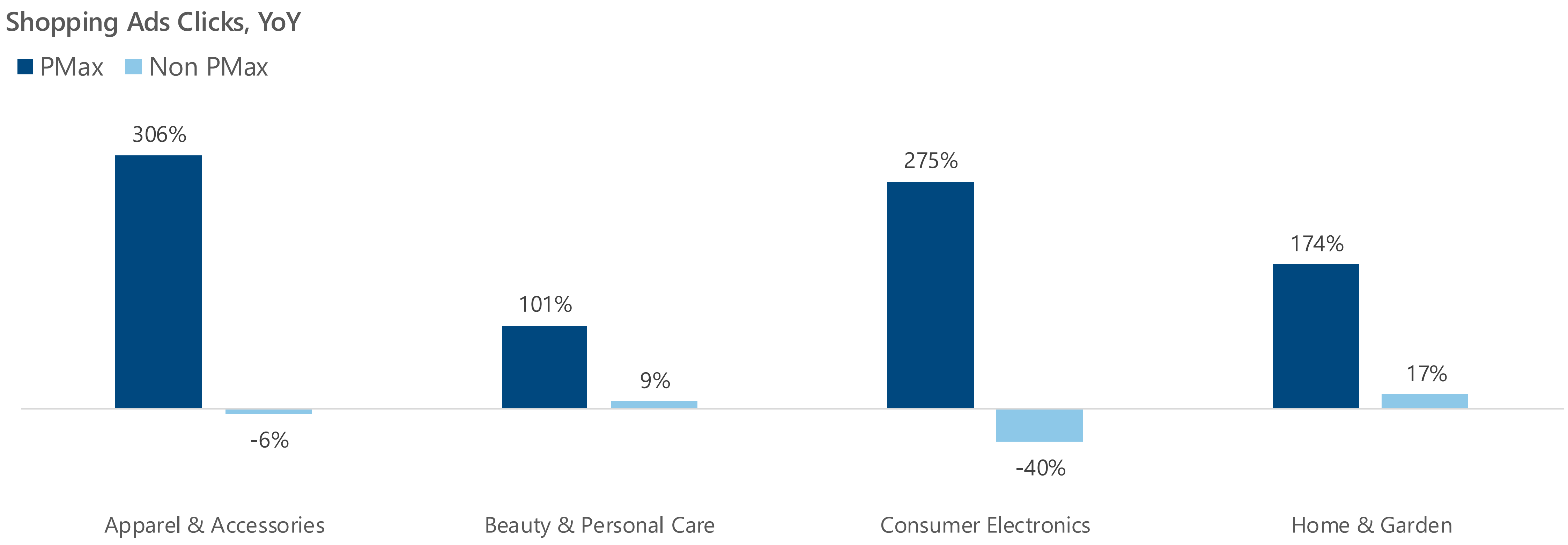
Microsoft Advertising Internal Data | O&O | Jan – Apr 2026 vs. 2025

77%

Of PMax clicks are Shopping Ads clicks

PMax Shopping Ads are growing at a significant rate YoY

✓ Upgrade existing Non PMax Shopping Ads to stay competitive



How well does PMax capture High Value Auctions?

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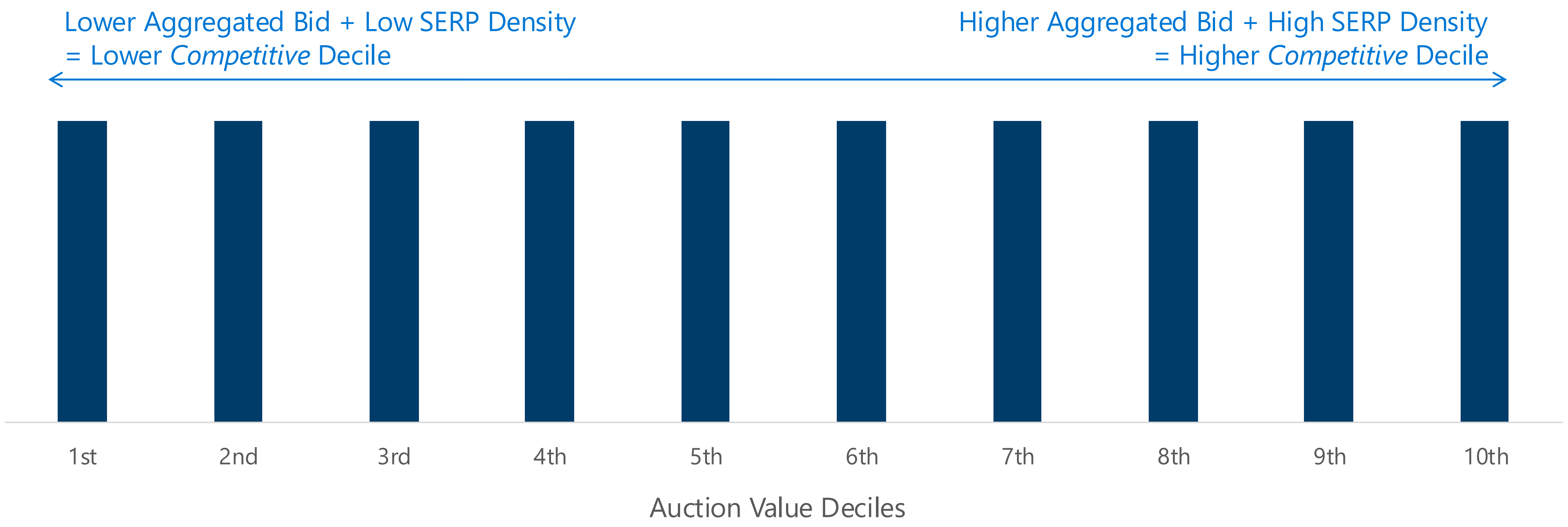
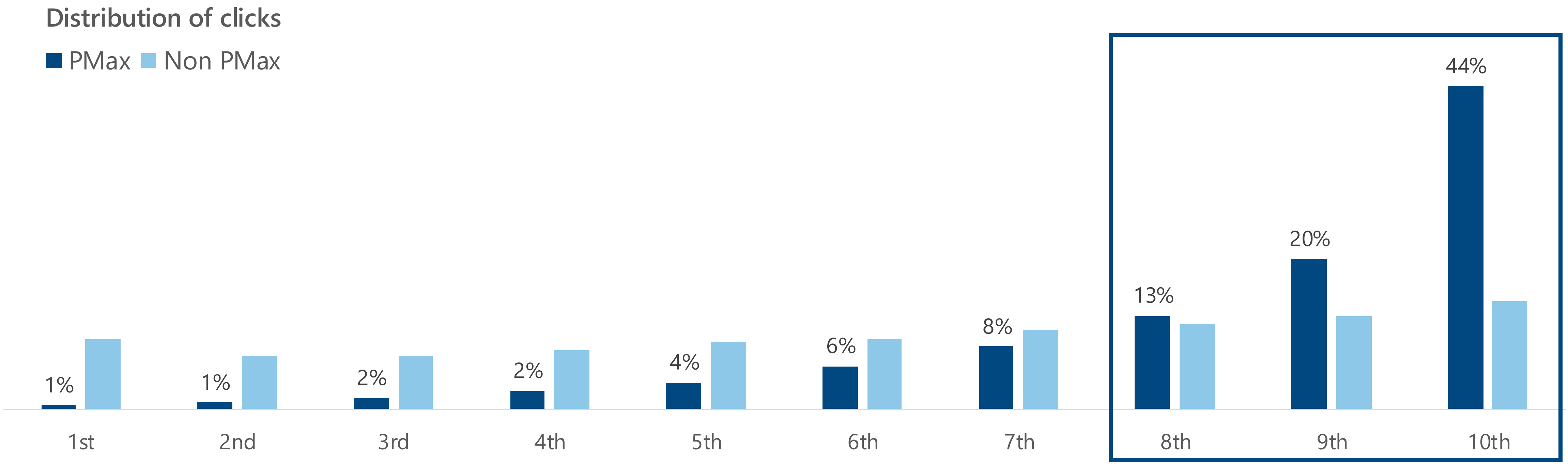
We analyzed a sample of Retail auctions and split them into 10 equal buckets (deciles) based on relative *competitiveness*



Where competition is fiercest, PMax wins more clicks and unlocks higher auction value



PMax consistently finds more *competitive* auctions =>most *valuable* auctions

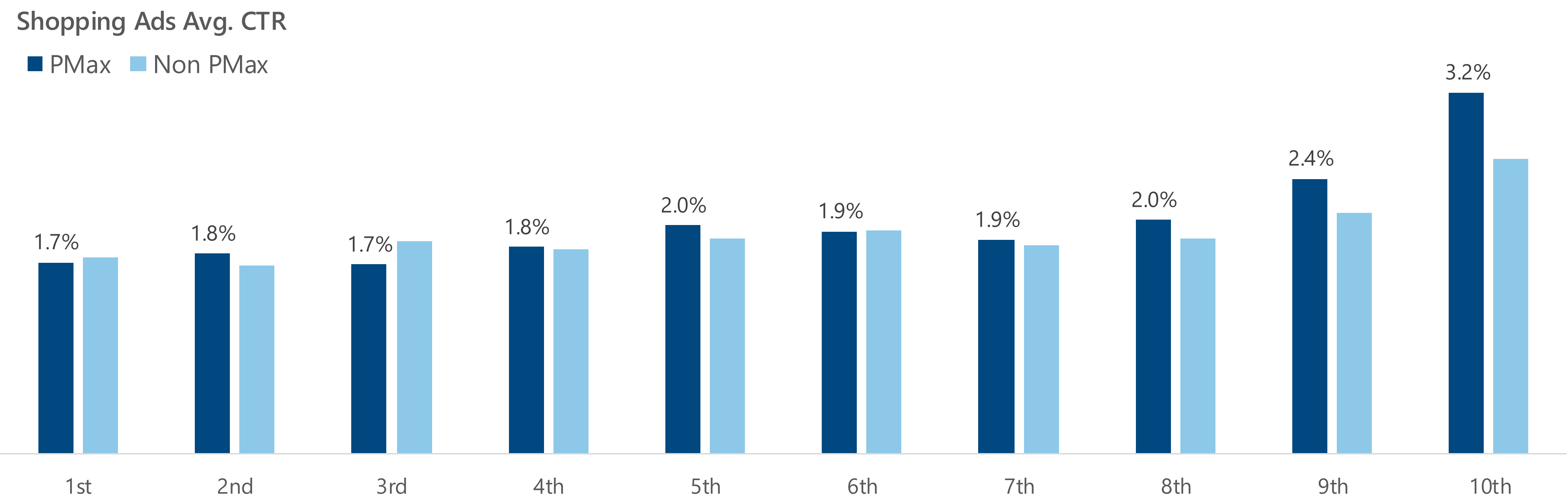
+231%

Increase in average competitiveness of auctions with PMax vs. without PMax

✓ **Maximise performance with PMax to tap into higher-value inventory**

PMAX, HIGH VALUE COMPETITIVENESS

Bigger *growth* and better *performance*: PMax Shopping beats Non PMax Shopping avg. CTR at every auction decile



Retail Advertiser PMax Case Study

Advertiser gained 54% new users in Bing, and receives 45% more conversions by notable conversion cost improvement from high potential converters

54% Uplift in User Reach

45% Increase in conversion

75% decrease in Cost per Incremental Conversion

PMax is a priority for Holiday Peak 2026

Insights	Actions
PMax drives 20% of the total clicks	PMax is critical to driving demand and efficiency. Use the next couple of months as a testing period to fine-tune campaigns before peak season- scale PMax budget, refine audience signals, audit product feeds, and experiment with assets across ad formats.
PMax delivers and performs better in Higher Value Auctions	Maximise PMax performance through week to week optimisation ahead of the holiday season. Leverage upcoming seasonal moments like Back to School, football tournaments, end of summer sales, and Halloween to build audience lists to feed your Holiday PMax campaigns from September onward.
PMax Shopping is Outperforming Non PMax Shopping	To maximise conversions, test and audit your product feeds, add emerging search themes, and lower ROAS targets to unblock volume during learning window. Don't forget to update your holiday assets during the peak!

AUDIENCE ADS

Activate Audience Ads this season to complement your Search program and maximise overall performance

Audience Ads drove:

- 9 in 10 searches
- 4 in 5 clicks
- 3 in 4 conversions

Source: Microsoft Advertising Q4 2025. Scenario Lift by Ad Type Model
Retail vertical benchmark

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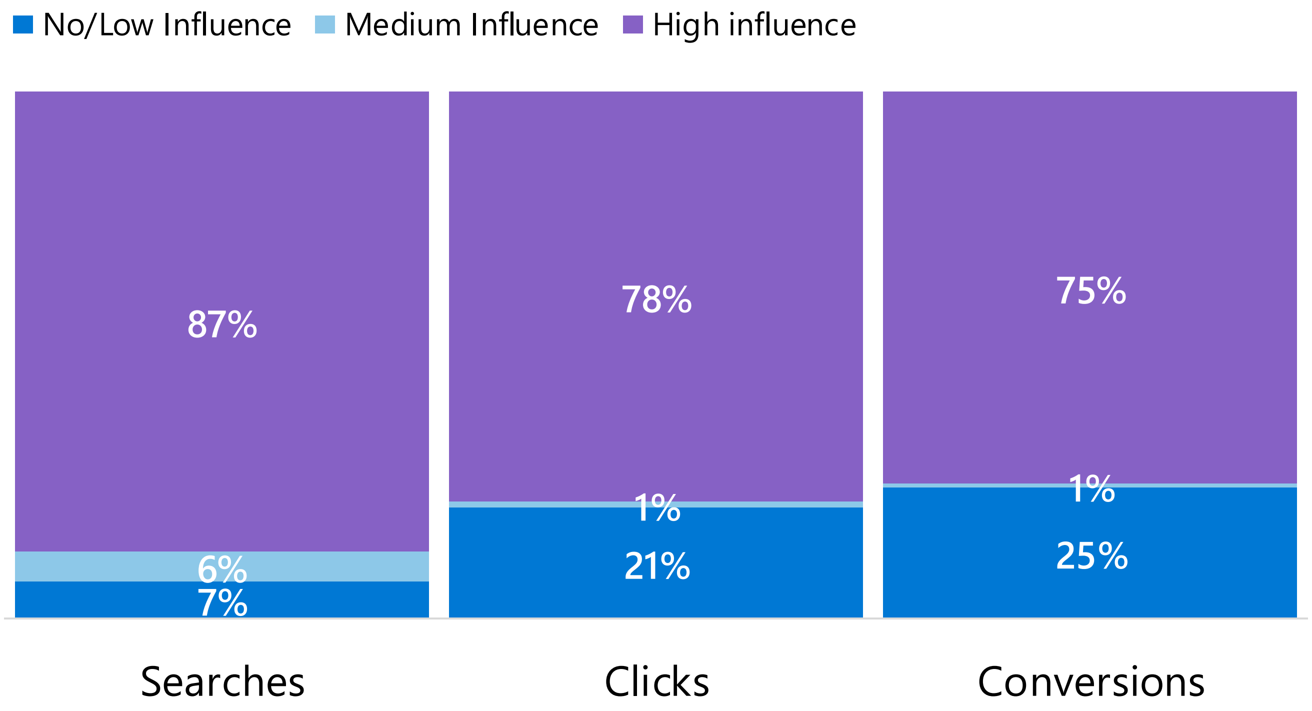
Audience Ads Influence*

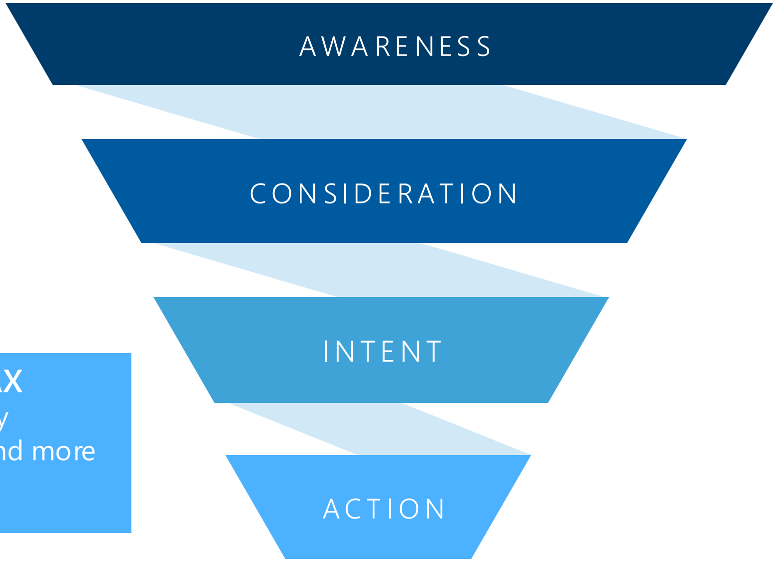


***Influence** Searches/Clicks/Conversions = Normalised Number of After Exposure / Normalised Number of Total
No/Low Influence = No/Few % of actions after Audience Ads exposure
Medium Influence = Mid % of actions after Audience Ads exposure
High Influence = High % of actions after Audience Ads exposure

Audience Ads & PMax synergy

The boost+ of your Performance strategy

Complementing Search: PMax + Audience Ads unlocks greater reach and stronger performance



AUDIENCE ADS

Engage high-intent audiences who have previously shown interest in your vertical and/or competitors to grow reach among new, relevant users.

PERFORMANCE MAX

Intercept users that are already engaged with the advertiser and more likely ready to convert.

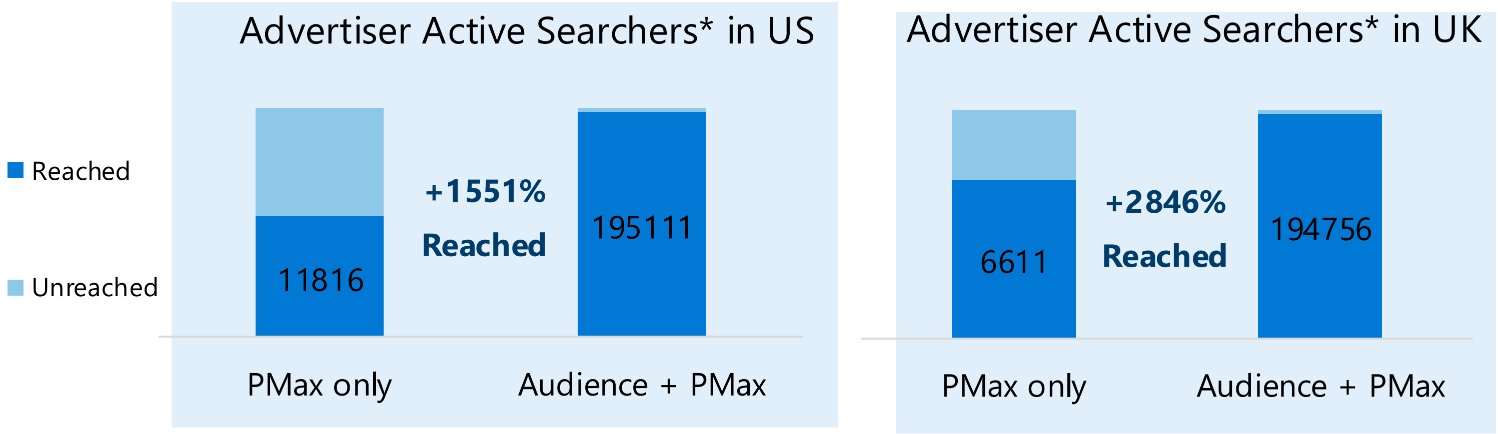
AUTOMATION ⟷ CUSTOMIZATION

Performance Max delivers *the best of Microsoft AI and automation* to drive results based on your marketing goals

Audience Ads can help increase your reach of potential high quality active consumers

Retail Success Case: PMax + Audience Ads gained exponential reach

Activating Audience Ads alongside PMax boosts reach and minimises missed opportunities among high-intent Retail users.



Source: Microsoft Advertising Q4 2025. *Sample size of 200K unique users in Scenario Lift by Ad Type Model.

Retail Case:

Client: Toys Advertiser

Strategy: PMax + Audience Ads

Timeframe: Q4 2025

Markets: US, EMEA

Thank you

Microsoft Advertising

Summary

Microsoft Advertising

The all-up: what matters this holiday season

01

AI is reshaping search

Discovery to conversion now runs full-funnel, making visibility from the very start decisive

02

Demand is early & sustained

It builds from October into January, far less peak-dependent than assumed

03

Brand wins the season

Shoppers start open rather than loyal, so early share-building pays off as discovery rises near peak

04

Orchestrate the full funnel

Audience and PMax carry the peak, while Search and Remarketing capture the post-peak tail

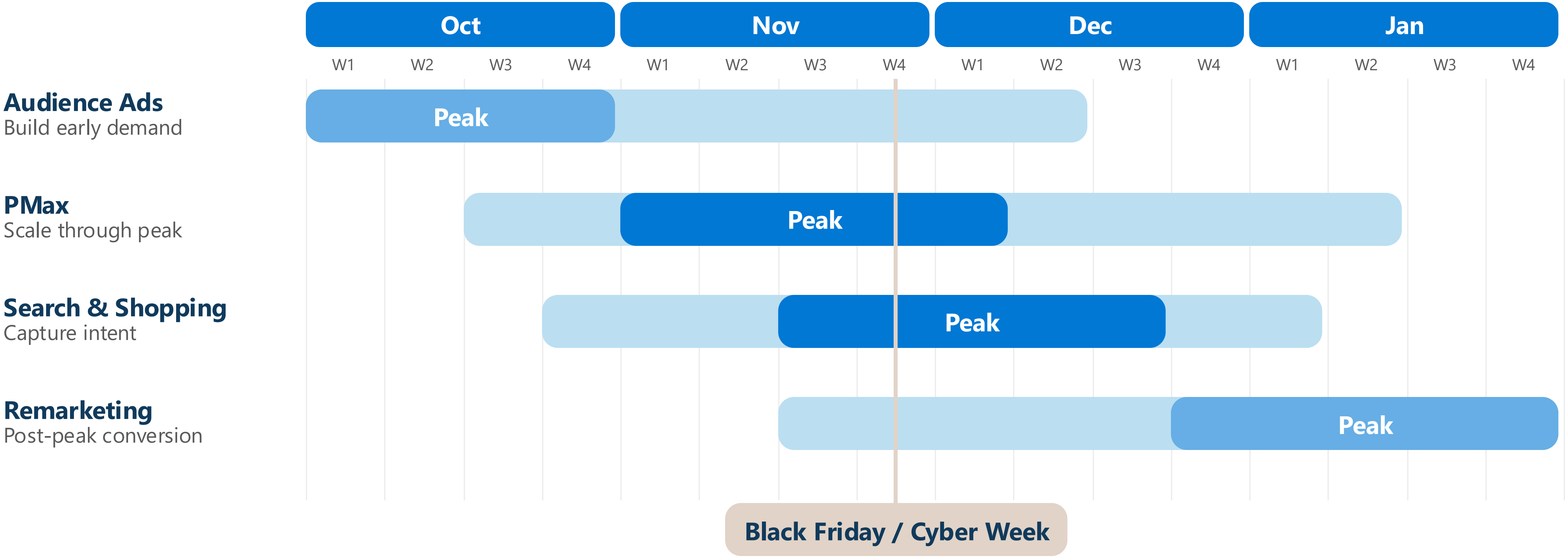
05

Mobile drives capture

Strong CTR signals intent, and the remaining upside is in conversion efficiency

The activation calendar turns these into a week-by-week plan you can run against today

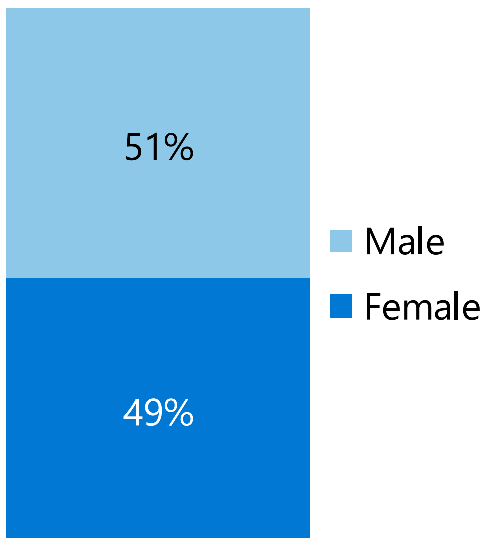
The holiday activation calendar: what to run, and when



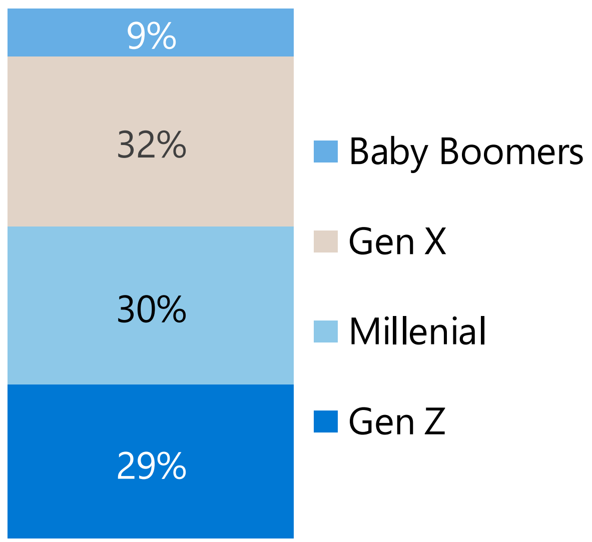
Cross-market sequencing guide. Bar length = active period; darker segment = peak intensity. Calibrate exact weeks to each market's demand curve.

Identify and target the right demographic during the busiest time of the year

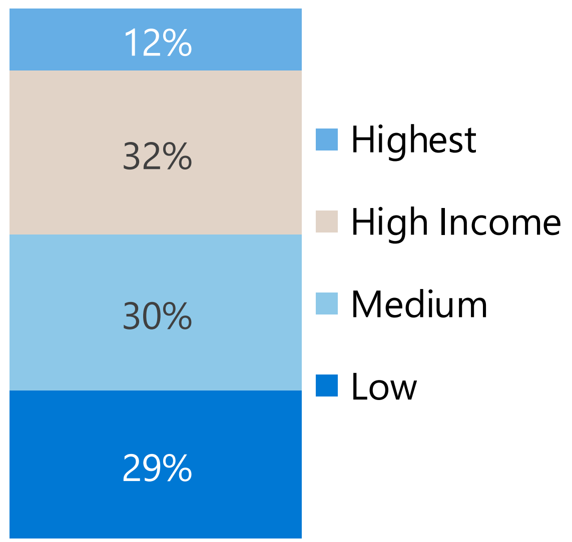
Gender



Generation



Income*



Global Web Index, EMEA, MSFT Recent Retail Purchasers excluding 'prefer not to say' and numbers are rounded 2026
*Income bracket may vary by country